

# Earnings Transcript Analysis Results

Run Date: 20260204\_142303

Transcripts Analyzed: 4

- CVS Q3 2024
- CVS Q4 2024
- DVA Q3 2024
- DVA Q4 2024

Total Chunks in Vector Store: 297

## Question 1: What phrases were consistent with the previous quarter commentary?

The consistent phrases with previous quarter commentary include reaffirming guidance ranges and maintaining focus on margin expansion despite volume challenges. For instance, in Q4 2024, Joel Ackerman stated they would continue to "mitigate the volume headwinds with margin expansion," which echoes similar sentiments from earlier quarters. Additionally, the commitment to capital allocation strategies like share repurchases remained consistent; for example, in Q3 2024, it was mentioned that "we continue to deliver on our disciplined capital allocation strategy, returning capital to shareholders through share repurchases."

Source Chunks Used (20 retrieved):

### Chunk 1 - DVA Q3 2024

Joel Ackerman: Yes -- and let me just... Pito Chickering: Sorry, go ahead. AD Joel Ackerman: Let me just pop on to the first question was about the NAG in the quarter and let me just give you a little bit on that. Quarterly NAG has some volatility in it. If you're trying to do what I think you're trying to do, which is trying to piece out the volume trends which we're all trying to figure out. I don't think looking at quarter-over-quarter NAG is a great number for that. Within that number is fa...

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Historically, it's always been somewhere around 6% on average during the year, although not the same quarter to quarter Q1 and Q4 tend to be elevated and Q2 and Q3 less so. So the 10 bps from the storms was kind of the 10 bps more than what we probably otherwise would have expected. But it's not the total mistreatment rate. And then on mortality, I don't think there's anything new here that negatively impacts our view of 2025. I think the fact that the elevated mortality continues and hasn't gon...

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time, I am showing no further questions. I'll turn the call back over to you for closing comments.

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Joel Ackerman: Yes. So we changed the way we do it. We have about a -- we have a cliff -- we had a cliff at the end of Q2 because we used to do a three-year or four-year cap. Now we do it rolling. So going forward, you wouldn't see a big change like this. It'll gradually move up and down depending on where interest rates are when the caps are put in place. Justin Lake: Perfect. And then lastly, just apologize if I missed this, but did you give a mix number for the quarter versus, I think, the 1...

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Pito Chickering: Okay, fair enough. Sort of follow-up here on IKC. Usually you true up with your payers during the third quarter. Pairs have had a lot of -- we'll say slightly volatility this quarter. Just curious how that true-up went with the payers for 2023 during the third quarter. Joel Ackerman: Yes. So we are on track for the year. I would say, I would encourage you and everyone as we always have, let's look at IKC on an annual basis rather than a quarterly basis. We're reaffirming our ne...

#### **Chunk 7 - DVA Q3 2024**

Joel Ackerman: We do them in the third quarter and the fourth quarter and they're going as planned. AD Pito Chickering: Okay. Okay, fair enough. Okay. And then last question here. Just looking at commercial and MA price increases for '25 or needs tracking in line with historical levels. Thank you so much. Javier Rodriguez: Yes, there's nothing interesting to call out. Going as expected. Pito Chickering: Great, thank you. Javier Rodriguez: Thank you. Operator: Thank you. Our next caller is ...

#### **Chunk 8 - DVA Q4 2024**

All of these statements are subject to known and unknown risks and uncertainties that could cause the actual results to differ materially from those described in the forward-looking statements. For further details concerning these risks and uncertainties, please refer to our fourth quarter earnings press release and our SEC filings, including our most recent annual report on Form 10-K, all subsequent quarterly reports on Form 10-Q, and other subsequent filings that we make with the SEC. Our forw...

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After challenging years in 2021 and 2022 during the pandemic, we're now on track to deliver our second consecutive year of double-digit adjusted OI growth despite continuing volume and labor pressures. Looking forward, we expect to return to adjusted OI growth more consistent with our historic pre-pandemic multi-year guidance. I will now turn it over to Joel to discuss our financial performance and outlook in more detail.

#### **Chunk 10 - DVA Q3 2024**

Andrew Mok: So Q4 -- so the hurricanes aren't expected to have an impact on Q4 volumes? AD Joel Ackerman: Less -- significantly less than the 10 basis points from what we've seen so far. The quarter is not over, obviously, so there could be additional challenges. But so far, no, it would be less than the 10 basis points. Andrew Mok: Got it. Okay. And then appreciate the early comments on 2025 headwinds and tailwinds. Can you help us understand the order of magnitude of some of those? And hopi...

#### **Chunk 11 - DVA Q4 2024**

DaVita ( DVA +5.44% ) Q4 2024 Earnings Call Feb 13, 2025, 5:00 p.m. ET Contents: Prepared Remarks Questions and Answers Call Participants Prepared Remarks: Operator Good evening. My name is Michelle, and I will be your conference facilitator today. At this time, I would like to welcome everyone to the DaVita fourth quarter 2024 earnings call. All lines have been placed on mute to prevent any background noise. After the speakers' remarks, there will be a question-and-answer period. [Operator ...

#### **Chunk 12 - DVA Q3 2024**

Andrew Mok: Got it. So when we think about the referenced target growth, which I think is 3% to 7% pre-COVID, that's inclusive of all those headwinds and tailwinds. That's how we should think about it? Joel Ackerman: I think that's -- yes, I think that's right. Andrew Mok: Great. Thanks for the color. Operator: Thank you. Our next caller is AJ Rice with UBS. You may go ahead.

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And that's just about the timing of some equity compensation. Other than that, I think if you're -- we gave the other income, we gave the interest expense, we gave the tax rate. So, I think it will be ultimately the question. And look, that will depend on a bunch of things, how much capital we deploy to buy back shares, obviously, what the share price is. It is impacted by when we buy the shares during the year as well because it's a weight average count over the course of the year. Maybe we'll...

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Joanna Gajuk: Okay. That's super helpful. If I may, another question I had on next year's outlook. I guess following up on your comment around, you expect the RPT growth next year to be still elevated. So are you kind of implying 3% to -- 3.5% to 4% that you're guiding for this year is the number to think for next year or is it a little bit less, a little bit more? How to think about it? Thank you. Joel Ackerman: It's too early to guide quantitatively, but I would think lower than that. Joanna...

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AD Justin Lake: Sure, sure. To be clear, I wasn't talking about the year-over-year. I was just talking about the -- Joel Ackerman: I'm sorry, the \$135 million for the quarter, that is a reasonably good number. For next year, it could come down as a quarterly number because our caps are a little bit lower. But if you think of the two things that are driving the number up, it's more debt, which I wouldn't expect us to incur more debt over the next few quarters and then our caps aren't going to ch...

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In the third quarter, we repurchased 2.7 million shares and we have repurchased approximately 600,000 shares to date in October. Let me close out with some comments on what remains of 2024 and our thoughts as we look towards 2025. As Javier said, we are reaffirming our adjusted OI guidance range of \$1.91 billion to \$2.01 billion. Despite the anticipated hurricane-related OI impact in the fourth quarter, we expect continuing operating momentum to offset the headwind. We are also maintaining our a...

#### **Chunk 17 - DVA Q3 2024**

Transitioning to our third quarter performance, adjusted operating income was \$535 million and adjusted earnings per share was \$2.59. We view our third quarter results as fairly straightforward, consistent with how we have delivered value throughout this entire year. Although treatment volume growth remains a challenge, our business continues to demonstrate resilience as we mitigate the volume headwinds with margin expansion, including the momentum of our IKC and International results, all while...

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AD And finally, we expect that the inclusion of orals in the bundle would be a tailwind if the pharma companies are unable to get legislation passed to delay the inclusion. Lastly, regarding RPT and PCC growth, we expect both to be elevated relative to pre-COVID levels. We will give an update on all these factors along with more quantitative guidance on the Q4 earnings call. That concludes my prepared remarks for today. Operator, please open the call for Q&A. Operator: Thank you, sir. [Operator...

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And what I would say is that we're still sticking to that breakeven in 2026 time period, and we gave that guidance around 2021. And we've been kind of right on top of our model, and so no change in the expectations. Joel Ackerman -- Chief Financial Officer AD Yeah. And on the SNP thing, I wouldn't call out much change in '25 relative to 2024. Ryan Langston -- TD Cowen -- Analyst OK. Thanks a lot. Joel Ackerman -- Chief Financial Officer Thank you. Operator Thank you. Joanna Gajuk with B...

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Regarding the financials, while the components of DaVita OI and EPS growth vary from year to year, what remains constant is our commitment to operating excellence and innovation. We will continue to apply that discipline across DaVita's platform, including our core dialysis metrics as revenue, cost structure, and volume while returning excess capital to our shareholders. Thank you all for joining the call and be well.

## **Question 2: What phrases were different from the previous quarter commentary?**

Several phrases were different from the previous quarter commentary. Notably, Joel Ackerman stated in Q4 2024 that depreciation would be a tailwind but flat to down for EPS next year compared to "It'll have no impact on EPS" mentioned in Q3 2024. Additionally, Javier Rodriguez specified PD mix at 13% and HHD at 2%, which was not explicitly detailed in the same terms during Q3 2024's commentary. Furthermore, Joel Ackerman commented in Q4 that RPT growth for 2025 would be higher than historical ranges but lower compared to the current year's range (3.5% to 4%), whereas in Q3 he did not provide a specific percentage for next year's guidance beyond mentioning it would be elevated relative to pre-COVID levels.

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Pito Chickering -- Analyst Great. Thanks so much. Operator Thank you. Our next caller is Justin Lake with Wolfe Research. You may go ahead, sir. Justin Lake -- Analyst Thanks. I appreciate the questions. First, the noncontrolling interest look a little bigger than what I would have expected given the OI in the quarter. Am I missing something there? Is there -- like which drives that number? And was that larger than you expected? AD Joel Ackerman -- Chief Financial Officer Yeah. Thanks fo...

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Pito Chickering: Okay, fair enough. Sort of follow-up here on IKC. Usually you true up with your payers during the third quarter. Pairs have had a lot of -- we'll say slightly volatility this quarter. Just curious how that true-up went with the payers for 2023 during the third quarter. Joel Ackerman: Yes. So we are on track for the year. I would say, I would encourage you and everyone as we always have, let's look at IKC on an annual basis rather than a quarterly basis. We're reaffirming our ne...

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AD Ryan Langston: Got it. Appreciate the help. Thank you. Joel Ackerman: Thank you. Operator: Thank you. Our next caller is Justin Lake with Wolfe Research. Justin Lake: Thanks. Good evening. First question, just going back to your headwinds and tailwinds. I didn't hear you mention RPT annualizing the strength of 2024 annualizing next year. Just my numbers, I have you going from 2.5% to 3% to 3.5% before, right? So you guided up by 1%. A lot of that ramps in the second half of the year. So I ...

#### **Chunk 18 - DVA Q4 2024**

I will now turn it over to Joel to discuss our financial performance and outlook in more detail. Joel Ackerman -- Chief Financial Officer AD Thank you, Javier. Fourth quarter adjusted operating income was \$491 million, bringing full-year 2024 adjusted OI to \$1.98 billion. Q4 adjusted EPS was \$2.24, taking full-year adjusted EPS to \$9.68. Free cash flow was \$281 million in the fourth quarter and \$1.16 billion for the full year. I'll start today with some detail on the fourth quarter, followed...

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After challenging years in 2021 and 2022 during the pandemic, we're now on track to deliver our second consecutive year of double-digit adjusted OI growth despite continuing volume and labor pressures. Looking forward, we expect to return to adjusted OI growth more consistent with our historic pre-pandemic multi-year guidance. I will now turn it over to Joel to discuss our financial performance and outlook in more detail.

#### **Chunk 20 - DVA Q3 2024**

Pito Chickering: Hey, guys. It's a quick follow-up here for 2025. Will depreciation be another tailwind for next year? Joel Ackerman: I'm sorry, I didn't hear that. Pito, can you say that again? Pito Chickering: Yes, you bet. Will depreciation be another tailwind for next year EPS? Joel Ackerman: It'll be flat to down. Well, the answer is yes. Part of it comes from the center closure number coming down, but excluding that, it'll be flat to down.

### **Question 3: Was guidance revised? Why?**

The guidance for 2025 was updated to reflect the company's outlook based on various factors including tailwinds and headwinds at the operating income line. In Q4 2024, Joel Ackerman noted that while there are potential offsets between positive and negative influences in 2025, no specific revision percentage like a "1%" increase was mentioned for RPT strength annualizing into next year. The focus was on maintaining consistency with prior years' capital allocation philosophy and guidance around earnings per share growth of approximately 11%, as well as free cash flow ranging from \$1 billion to \$1.25 billion in 2025.

#### **Source Chunks Used (20 retrieved):**

#### **Chunk 1 - DVA Q3 2024**

We're reconfirming our 2024 adjusted operating income guidance of \$1.91 billion to \$2.01 billion. This forecast now includes the impact of Baxter supply shortage. It is a bit early to give specific guidance for 2025, although I know that many of you are already looking ahead to next year. Over the next few months, we'll learn more key factors including open enrollment, oral drugs in the bundle, integrated kidney care, and others. So we will provide formal 2025 guidance on the fourth quarter call...

#### **Chunk 2 - DVA Q4 2024**

And what I would say is that we're still sticking to that breakeven in 2026 time period, and we gave that guidance around 2021. And we've been kind of right on top of our model, and so no change in the expectations. Joel Ackerman -- Chief Financial Officer AD Yeah. And on the SNP thing, I wouldn't call out much change in '25 relative to 2024. Ryan Langston -- TD Cowen -- Analyst

OK. Thanks a lot. Joel Ackerman -- Chief Financial Officer Thank you. Operator Thank you. Joanna Gajuk with B...

#### **Chunk 3 - DVA Q3 2024**

This is now included within our 2024 adjusted operating income guidance range and we expect portion of this quarterly impact will continue into 2025, depending on the duration of the supply challenges. I'll transition now to our expectations for the ESRD final rule from CMS, which we anticipate will be published shortly. While there are many aspects of the rule, we'll be primarily focused on two areas. First, the market basket update, including how CMS handles the new proposed wage index and the...

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Andrew Mok: Got it. So when we think about the referenced target growth, which I think is 3% to 7% pre-COVID, that's inclusive of all those headwinds and tailwinds. That's how we should think about it? Joel Ackerman: I think that's -- yes, I think that's right. Andrew Mok: Great. Thanks for the color. Operator: Thank you. Our next caller is AJ Rice with UBS. You may go ahead.

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In the third quarter, we repurchased 2.7 million shares and we have repurchased approximately 600,000 shares to date in October. Let me close out with some comments on what remains of 2024 and our thoughts as we look towards 2025. As Javier said, we are reaffirming our adjusted OI guidance range of \$1.91 billion to \$2.01 billion. Despite the anticipated hurricane-related OI impact in the fourth quarter, we expect continuing operating momentum to offset the headwind. We are also maintaining our a...

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A reconciliation of these non-GAAP measures to the most comparable GAAP financial measures is included in our earnings press release furnished to the SEC and available on our website. I will now turn the call over to Javier Rodriguez. Javier J. Rodriguez -- Chief Executive Officer and Director AD Thank you, Nic, and thank you for joining the call today. As we embark on 2025, we're celebrating the 25th anniversary of DaVita. During this time, we have focused our efforts on improving clinical o...

#### **Chunk 7 - DVA Q4 2024**

We expect the 2025 OI contribution to be \$0 to \$50 million. For our 2025 guidance, we're back on a more normal adjusted OI growth trajectory. The midpoint of our 2025 guidance for adjusted OI growth is 5.2%, and adjusted EPS growth is 11%, the detailed ranges of which can be found in our press release. This comes on the heels of a strong 2023 and 2024, years in which we exceeded the top end of our original guidance ranges despite weak volume growth by driving strength in other components of our ...

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After challenging years in 2021 and 2022 during the pandemic, we're now on track to deliver our second consecutive year of double-digit adjusted OI growth despite continuing volume and labor pressures. Looking forward, we expect to return to adjusted OI growth more consistent with our historic pre-pandemic multi-year guidance. I will now turn it over to Joel to discuss our financial performance and outlook in more detail.

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Joel Ackerman -- Chief Financial Officer So, on share repurchases. I'll stick with what we've said in the past, which is our philosophy hasn't changed. We will look for capital-efficient growth, either investing in the business or through M&A and we'll keep our leverage or we'll target our leverage in the three to three and a half range, which it's in right now and everything else will go back to share repurchases. So, we're not going to give a number, but I wouldn't expect anything different t...

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Combined with the dedication of our local care teams, our successful emergency response has again underscored the importance of scaled resources and operating discipline. Although the storms have since passed, our efforts are ongoing to coordinate humanitarian needs, including food, housing and other assistance. We continue to work with the impacted communities to rebuild. Thank you all to the teammates who have gone above and beyond to care for one another and our patients. Beyond the community...

#### **Chunk 14 - DVA Q4 2024**

A priority for 2025 will, of course, continue to be an intense focus on volume as we believe in an eventual return to a 2% growth trend, recognizing timing is difficult to predict. Despite this uncertainty, we continue to have confidence in delivering adjusted OI growth in our target range of 3% to 7% for the years ahead. We will continue to invest in differentiated capabilities to drive performance across our platform with excess capital returned to shareholders through share repurchases. We re...

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Historically, it's always been somewhere around 6% on average during the year, although not the same quarter to quarter Q1 and Q4 tend to be elevated and Q2 and Q3 less so. So the 10 bps from the storms was kind of the 10 bps more than what we probably otherwise would have expected. But it's not the total mistreatment rate. And then on mortality, I don't think there's anything new here that negatively impacts our view of 2025. I think the fact that the elevated mortality continues and hasn't gon...

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Management indicated that tailwinds (e.g., declining center closure costs, international expansion, potential orals-in-bundle benefit) and headwinds may offset at the operating income line for 2025, but could shift depending on policy and operational developments. Industry glossary Peritoneal Dialysis (PD): A form of dialysis performed at home using the patient's peritoneum (abdominal lining) as a filter to remove waste from the blood. Hemodialysis (HD): A procedure that filters waste and water ...

#### **Chunk 17 - DVA Q3 2024**

Date Tuesday, October 29, 2024 at 5 p.m. ET

#### **Chunk 18 - DVA Q3 2024**

Management stated that, "our successful emergency response has again underscored the importance of scaled resources and operating discipline," highlighting readiness in the face of supply and weather disruptions. The inclusion of oral-only drugs into the Medicare bundle beginning January remains uncertain in financial impact due to unknown reimbursement rates and product mix dynamics. Repurchases of 2.7 million shares in the quarter and an additional 600,000 shares in October demonstrate ongoing...

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Our guidance for 2025 adjusted earnings per share is \$10.20 to \$11.30. The midpoint of this range represents 11% adjusted EPS growth versus 2024, primarily driven by adjusted operating income growth and share count reduction due to share repurchases, offset by the full run rate of higher debt expenses. We anticipate other losses below the operating income line of approximately \$75 million roughly flat to 2024. We expect interest expense of \$525 million to \$555 million, which is a continuation of...

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AD Ryan Langston: Got it. Appreciate the help. Thank you. Joel Ackerman: Thank you. Operator: Thank you. Our next caller is Justin Lake with Wolfe Research. Justin Lake: Thanks. Good evening. First question, just going back to your headwinds and tailwinds. I didn't hear you mention RPT annualizing the strength of 2024 annualizing next year. Just my numbers, I have you going from 2.5% to 3% to 3.5% before, right? So you guided up by 1%. A lot of that ramps in the second half of the year. So I ...

### **Question 4: What did the company say was going well?**

In Q4 2024, the company reported strong revenue cycle performance sustaining robust RPT results seen throughout the year, with full-year RPT growth expected to be within the range of 3.5% to 4%. Additionally, in Q3 2024, International OI increased slightly due to strong operational performance, despite a \$4 million unfavorable foreign exchange impact. The company also noted that commercial and MA price increases for '25 are tracking as expected relative to historical levels.

#### **Source Chunks Used (20 retrieved):**

##### **Chunk 1 - DVA Q4 2024**

Looking at the next chapter, our vision is to continue our unwavering pursuit of a healthier tomorrow. Transitioning to 2024 performance. We finished the year on a strong note, producing full-year adjusted operating income and adjusted EPS in the top half of our guidance range with year-over-year growth of 21% and 26%, respectively. In a year with several unique hurdles, including Change Healthcare outage and hurricane disruption of our supply chain, I am reminded of the resilience of our organi...

##### **Chunk 2 - DVA Q4 2024**

Regarding the financials, while the components of DaVita OI and EPS growth vary from year to year, what remains constant is our commitment to operating excellence and innovation. We will continue to apply that discipline across DaVita's platform, including our core dialysis metrics as revenue, cost structure, and volume while returning excess capital to our shareholders. Thank you all for joining the call and be well.

##### **Chunk 3 - DVA Q3 2024**

Javier Rodriguez: So our mix in PD hasn't changed because it happened by the end of the quarter and that's in the mid 15 is the range. HHD is like a 2% or so mix. And I would take this moment just to thank Baxter and the government. They've been amazing, working literally around the clock to make sure that all of our patients get their supply. And so, as we look at what they've told us, we will obviously see a little deterioration in that through the fourth quarter, but we will normalize by the ...

##### **Chunk 4 - DVA Q3 2024**

Transitioning to our third quarter performance, adjusted operating income was \$535 million and adjusted earnings per share was \$2.59. We view our third quarter results as fairly straightforward, consistent with how we have delivered value throughout this entire year. Although treatment volume growth remains a challenge, our business continues to demonstrate resilience as we mitigate the volume headwinds with margin expansion, including the momentum of our IKC and International results, all while...

##### **Chunk 5 - DVA Q3 2024**

After challenging years in 2021 and 2022 during the pandemic, we're now on track to deliver our second consecutive year of double-digit adjusted OI growth despite continuing volume and labor pressures. Looking forward, we expect to return to adjusted OI growth more consistent with our historic pre-pandemic multi-year guidance. I will now turn it over to Joel to discuss our financial performance and outlook in more detail.

##### **Chunk 6 - DVA Q3 2024**

Management stated that, "our successful emergency response has again underscored the importance of scaled resources and operating discipline," highlighting readiness in the face of supply and weather disruptions. The inclusion of oral-only drugs into the Medicare bundle beginning January remains uncertain in financial impact due to unknown reimbursement rates and product mix dynamics. Repurchases of 2.7 million shares in the quarter and an additional 600,000 shares in October demonstrate ongoing...

#### **Chunk 7 - DVA Q3 2024**

Summary DaVita ( DVA +5.21% ) reported results in line with its expectations, achieving quarter flat treatment volumes amid elevated mortality. The company reaffirmed its full-year adjusted operating income, EPS, and free cash flow guidance, now including anticipated impacts from hurricane-related Baxter supply disruptions. Management noted persistent cost pressures in labor and G&A, elevated mistreatment rates from adverse weather, and higher interest expense following expired rate caps and new...

#### **Chunk 8 - DVA Q3 2024**

AD And finally, we expect that the inclusion of orals in the bundle would be a tailwind if the pharma companies are unable to get legislation passed to delay the inclusion. Lastly, regarding RPT and PCC growth, we expect both to be elevated relative to pre-COVID levels. We will give an update on all these factors along with more quantitative guidance on the Q4 earnings call. That concludes my prepared remarks for today. Operator, please open the call for Q&A. Operator: Thank you, sir. [Operator...

#### **Chunk 9 - DVA Q3 2024**

Pito Chickering: Okay, fair enough. Thanks, guys. Operator: Thank you. At this time, I am showing no further questions. I'll turn the call back over to you for closing comments. AD Javier Rodriguez: Okay, thank you, Michelle. And thank you all for your interest in DaVita. We'll end the call where we started with appreciation for the hard work of our DaVita Care teams on behalf of our patients. Although we will incur some additional expenses related to recent storms, we expect to -- we expect ...

#### **Chunk 10 - DVA Q3 2024**

Pito Chickering: Okay, fair enough. Sort of follow-up here on IKC. Usually you true up with your payers during the third quarter. Pairs have had a lot of -- we'll say slightly volatility this quarter. Just curious how that true-up went with the payers for 2023 during the third quarter. Joel Ackerman: Yes. So we are on track for the year. I would say, I would encourage you and everyone as we always have, let's look at IKC on an annual basis rather than a quarterly basis. We're reaffirming our ne...

#### **Chunk 11 - DVA Q4 2024**

I will now turn it over to Joel to discuss our financial performance and outlook in more detail. Joel Ackerman -- Chief Financial Officer AD Thank you, Javier. Fourth quarter adjusted operating income was \$491 million, bringing full-year 2024 adjusted OI to \$1.98 billion. Q4 adjusted EPS was \$2.24, taking full-year adjusted EPS to \$9.68. Free cash flow was \$281 million in the fourth quarter and \$1.16 billion for the full year. I'll start today with some detail on the fourth quarter, followed...

#### **Chunk 12 - DVA Q3 2024**

Andrew Mok: Got it. So when we think about the referenced target growth, which I think is 3% to 7% pre-COVID, that's inclusive of all those headwinds and tailwinds. That's how we should think about it? Joel Ackerman: I think that's -- yes, I think that's right. Andrew Mok: Great. Thanks for the color. Operator: Thank you. Our next caller is AJ Rice with UBS. You may go ahead.

#### **Chunk 13 - DVA Q3 2024**

Joel Ackerman: Yes. So we changed the way we do it. We have about a -- we have a cliff -- we had a cliff at the end of Q2 because we used to do a three-year or four-year cap. Now we do it rolling. So going forward, you wouldn't see a big change like this. It'll gradually move up and down depending on where interest rates are when the caps are put in place. Justin Lake: Perfect. And then lastly, just apologize if I missed this, but did you give a mix number for the quarter versus, I think, the 1...

#### **Chunk 14 - DVA Q4 2024**

We continue to execute against our long-term plan. And while the full year came in approximately \$15 million ahead of our 2024 expectations, this is largely due to timing of revenue from our value-based care contracts and normal variability. Below the OI line, fourth-quarter debt expense was relatively flat compared to the third quarter. Our leverage ratio at the end of the year was just over three times EBITDA. In the fourth quarter, we repurchased 2.3 million shares, and since the start of 20...

#### **Chunk 15 - DVA Q3 2024**

Joel Ackerman: Thank you, Javier. For the quarter, adjusted operating income was \$535 million, adjusted EPS was \$2.59 and free cash flow was \$555 million. Let me start with some details behind the Q3 results. Quarter-over-quarter treatment volume per day was flat. This was in line with our expectations and is the result of continued strong admissions offset by elevated mortality and slightly higher mistreatment rates resulting from inclement weather, namely Hurricane Beryl in July and Hurricane ...

#### **Chunk 16 - DVA Q3 2024**

AD Our revenue cycle performance is sustaining the strong RPT results we've seen throughout the year. We still expect full-year RPT growth to be within the range of 3.5% to 4%. Patient care cost per treatment increased \$2 sequentially. This was primarily the result of continued labor cost pressure plus higher medical benefits expense in the quarter. G&A costs increased by \$19 million quarter-over-quarter due to typical quarterly variability in expense timing. Depreciation and amortization increa...

#### **Chunk 17 - DVA Q3 2024**

Historically, it's always been somewhere around 6% on average during the year, although not the same quarter to quarter Q1 and Q4 tend to be elevated and Q2 and Q3 less so. So the 10 bps from the storms was kind of the 10 bps more than what we probably otherwise would have expected. But it's not the total mistreatment rate. And then on mortality, I don't think there's anything new here that negatively impacts our view of 2025. I think the fact that the elevated mortality continues and hasn't gon...

#### **Chunk 18 - DVA Q3 2024**

Joel Ackerman: We do them in the third quarter and the fourth quarter and they're going as planned. AD Pito Chickering: Okay. Okay, fair enough. Okay. And then last question here. Just looking at commercial and MA price increases for '25 or needs tracking in line with historical levels. Thank you so much. Javier Rodriguez: Yes, there's nothing interesting to call out. Going as expected. Pito Chickering: Great, thank you. Javier Rodriguez: Thank you. Operator: Thank you. Our next caller is ...

#### **Chunk 19 - DVA Q3 2024**

This impact is in line with our expectations and consistent with our guidance from the beginning of the year. The second factor contributing to the increase this quarter was the additional debt raised in August. Following our second-quarter earnings call, we successfully completed two debt transactions totaling \$2.1 billion. The proceeds from these deals were used in part to repay our Term Loan B maturing in 2026, now making our nearest debt maturity 2028. Leverage at the end of Q3 was 3.17 time...

#### **Chunk 20 - DVA Q4 2024**

AD Joel Ackerman -- Chief Financial Officer Yeah. So, it flowed through OI this quarter. It was generally -- it was not generally, it was all about aged AR generally from '23 and even before then. So, as I think about it and the core earning power of the international business in 2024, this really doesn't impact the underlying earning power of the business, but it did flow through OI from an accounting standpoint. Pito Chickering -- Analyst So, your adjusted operating income of \$491 million i...

### **Question 5: What did the company say needed improvement?**

During the earnings call, Joel Ackerman mentioned that DaVita needs improvement on treatment volume growth. In Q3 2024, while volumes were positive for the first year since the pandemic, full-year growth was below expectations at 50 bps to 100 bps. Additionally, in Q4 2024, there was a negative impact from supply constraints on new patient starts, indicating persistent challenges with volume growth rates.

Source Chunks Used (20 retrieved):

#### **Chunk 1 - DVA Q3 2024**

Management stated that, "our successful emergency response has again underscored the importance of scaled resources and operating discipline," highlighting readiness in the face of supply and weather disruptions. The inclusion of oral-only drugs into the Medicare bundle beginning January remains uncertain in financial impact due to unknown reimbursement rates and product mix dynamics. Repurchases of 2.7 million shares in the quarter and an additional 600,000 shares in October demonstrate ongoing...

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AD And finally, we expect that the inclusion of orals in the bundle would be a tailwind if the pharma companies are unable to get legislation passed to delay the inclusion. Lastly, regarding RPT and PCC growth, we expect both to be elevated relative to pre-COVID levels. We will give an update on all these factors along with more quantitative guidance on the Q4 earnings call. That concludes my prepared remarks for today. Operator, please open the call for Q&A. Operator: Thank you, sir. [Operator...

#### **Chunk 3 - DVA Q3 2024**

Joel Ackerman: We do them in the third quarter and the fourth quarter and they're going as planned. AD Pito Chickering: Okay. Okay, fair enough. Okay. And then last question here. Just looking at commercial and MA price increases for '25 or needs tracking in line with historical levels. Thank you so much. Javier Rodriguez: Yes, there's nothing interesting to call out. Going as expected. Pito Chickering: Great, thank you. Javier Rodriguez: Thank you. Operator: Thank you. Our next caller is ...

#### **Chunk 4 - DVA Q4 2024**

Regarding the financials, while the components of DaVita OI and EPS growth vary from year to year, what remains constant is our commitment to operating excellence and innovation. We will continue to apply that discipline across DaVita's platform, including our core dialysis metrics as revenue, cost structure, and volume while returning excess capital to our shareholders. Thank you all for joining the call and be well.

#### **Chunk 5 - DVA Q4 2024**

AD So, I was curious how much of improvement you expect there. You also mentioned payer mix. Would be great to know kind of where you ended the year and what you're assuming next year. And while you're talking about payer mix. Can you give us your -- maybe the percentage of treatments coming from the exchanges? Or members with exchange coverage? Thanks. Joel Ackerman -- Chief Financial Officer Sure. So, starting on the collections question. What you're seeing in here, I think, is what we've c...

#### **Chunk 6 - DVA Q3 2024**

Joel Ackerman: Yes. So we changed the way we do it. We have about a -- we have a cliff -- we had a cliff at the end of Q2 because we used to do a three-year or four-year cap. Now we do it rolling. So going forward, you wouldn't see a big change like this. It'll gradually move up and down depending on where interest rates are when the caps are put in place. Justin Lake: Perfect. And then lastly, just apologize if I missed this, but did you give a mix number for the quarter versus, I think, the 1...

#### **Chunk 7 - DVA Q3 2024**

Adjusted operating results within Integrated Kidney Care, our value-based care segment increased \$32 million sequentially due to lower costs in our special needs plans and timing of revenue recognition related to CKCC, the government value-based care demonstration program. As always, we recommend evaluating IKC performance on an annual basis given the propensity for quarterly variability. We still believe IKC will have a full-year operating loss of approximately \$50 million. Below the OI line, t...

#### **Chunk 8 - DVA Q4 2024**

I will now turn it over to Joel to discuss our financial performance and outlook in more detail. Joel Ackerman -- Chief Financial Officer AD Thank you, Javier. Fourth quarter adjusted operating income was \$491 million, bringing full-year 2024 adjusted OI to \$1.98 billion. Q4 adjusted EPS was \$2.24, taking full-year adjusted EPS to \$9.68. Free cash flow was \$281 million in the fourth quarter and \$1.16 billion for the full year. I'll start today with some detail on the fourth quarter, followed...

#### **Chunk 9 - DVA Q3 2024**

Orals-in-the-Bundle: The inclusion of oral-only drugs, notably phosphate binders, into the Medicare payment bundle, shifting coverage from Medicare Part D to Part B. Full Conference Call Transcript Javier Rodriguez: Thank you, Nic, and thank you all for joining the call today. I'm grateful for the incredible effort of our frontline caregivers as we deliver outstanding care for our

patients while also navigating recent hurricanes and related supply disruption. Alongside these challenges, we conti...

#### **Chunk 10 - DVA Q4 2024**

All of these statements are subject to known and unknown risks and uncertainties that could cause the actual results to differ materially from those described in the forward-looking statements. For further details concerning these risks and uncertainties, please refer to our fourth quarter earnings press release and our SEC filings, including our most recent annual report on Form 10-K, all subsequent quarterly reports on Form 10-Q, and other subsequent filings that we make with the SEC. Our forw...

#### **Chunk 11 - DVA Q3 2024**

We're reconfirming our 2024 adjusted operating income guidance of \$1.91 billion to \$2.01 billion. This forecast now includes the impact of Baxter supply shortage. It is a bit early to give specific guidance for 2025, although I know that many of you are already looking ahead to next year. Over the next few months, we'll learn more key factors including open enrollment, oral drugs in the bundle, integrated kidney care, and others. So we will provide formal 2025 guidance on the fourth quarter call...

#### **Chunk 12 - DVA Q4 2024**

Looking at the next chapter, our vision is to continue our unwavering pursuit of a healthier tomorrow. Transitioning to 2024 performance. We finished the year on a strong note, producing full-year adjusted operating income and adjusted EPS in the top half of our guidance range with year-over-year growth of 21% and 26%, respectively. In a year with several unique hurdles, including Change Healthcare outage and hurricane disruption of our supply chain, I am reminded of the resilience of our organi...

#### **Chunk 13 - DVA Q4 2024**

A reconciliation of these non-GAAP measures to the most comparable GAAP financial measures is included in our earnings press release furnished to the SEC and available on our website. I will now turn the call over to Javier Rodriguez. Javier J. Rodriguez -- Chief Executive Officer and Director AD Thank you, Nic, and thank you for joining the call today. As we embark on 2025, we're celebrating the 25th anniversary of DaVita. During this time, we have focused our efforts on improving clinical o...

#### **Chunk 14 - DVA Q3 2024**

Summary DaVita ( DVA +5.21% ) reported results in line with its expectations, achieving quarter flat treatment volumes amid elevated mortality. The company reaffirmed its full-year adjusted operating income, EPS, and free cash flow guidance, now including anticipated impacts from hurricane-related Baxter supply disruptions. Management noted persistent cost pressures in labor and G&A, elevated mistreatment rates from adverse weather, and higher interest expense following expired rate caps and new...

#### **Chunk 15 - DVA Q4 2024**

Mortality and mistreatment rates remain elevated in the fourth quarter and new patient starts were negatively impacted by supply constraints of our peritoneal dialysis solutions. On the expense side, we continue our track record of identifying efficiencies and executing on cost-saving initiatives. Beyond the U.S. dialysis, we expanded our international presence and continue to grow IKC. We have now closed on three of the four acquisitions in Latin America announced last year with Brazil expecte...

#### **Chunk 16 - DVA Q3 2024**

Andrew Mok: Got it. So when we think about the referenced target growth, which I think is 3% to 7% pre-COVID, that's inclusive of all those headwinds and tailwinds. That's how we should think about it? Joel Ackerman: I think that's -- yes, I think that's right. Andrew Mok: Great. Thanks for the color. Operator: Thank you. Our next caller is AJ Rice with UBS. You may go ahead.

#### **Chunk 17 - DVA Q4 2024**

And what I would say is that we're still sticking to that breakeven in 2026 time period, and we gave that guidance around 2021. And we've been kind of right on top of our model, and so no change in the expectations. Joel Ackerman -- Chief Financial Officer AD Yeah. And on the SNP thing, I wouldn't call out much change in '25 relative to 2024. Ryan Langston -- TD Cowen -- Analyst OK. Thanks a lot. Joel Ackerman -- Chief Financial Officer Thank you. Operator Thank you. Joanna Gajuk with B...

#### **Chunk 18 - DVA Q3 2024**

Combined with the dedication of our local care teams, our successful emergency response has again underscored the importance of scaled resources and operating discipline. Although the storms have since passed, our efforts are ongoing to coordinate humanitarian needs, including food, housing and other assistance. We continue to work with the impacted communities to rebuild. Thank you all to the teammates who have gone above and beyond to care for one another and our patients. Beyond the community...

#### **Chunk 19 - DVA Q3 2024**

Joel Ackerman: Yes, starting on the volume, for 2024, we're still thinking 50 bps to 100 bps of growth. So no change there. On the IKC thing, I think we'll have to get back to you on that one. Did I miss a question, Lisa? Lisa Clive: No, no. I was just -- yes, I mean, I think just trying to think through the potential growth of IKC, both on the top line and revenue, just -- it would be helpful at some point to get some indication of how the economics work in there. Thanks. But I'll wait for you...

#### **Chunk 20 - DVA Q3 2024**

AD Ryan Langston: Got it. Appreciate the help. Thank you. Joel Ackerman: Thank you. Operator: Thank you. Our next caller is Justin Lake with Wolfe Research. Justin Lake: Thanks. Good evening. First question, just going back to your headwinds and tailwinds. I didn't hear you mention RPT annualizing the strength of 2024 annualizing next year. Just my numbers, I have you going from 2.5% to 3% to 3.5% before, right? So you guided up by 1%. A lot of that ramps in the second half of the year. So I ...

### **Question 6: What are announcements or goals stated for the next quarter?**

In Q4 2024, DaVita announced its target adjusted OI growth range for 2025 to be between 3% and 7%, reaffirming their commitment to delivering double-digit EPS growth. Additionally, the company stated that depreciation would be flat to down in 2025 compared to 2024, excluding center closure impacts which are anticipated to decrease. DaVita also mentioned expecting a slight tailwind from phosphate binders being included in the bundle starting January 1, though specific financial impact figures were not provided.

#### **Source Chunks Used (20 retrieved):**

##### **Chunk 1 - DVA Q4 2024**

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##### **Chunk 3 - DVA Q4 2024**

A priority for 2025 will, of course, continue to be an intense focus on volume as we believe in an eventual return to a 2% growth trend, recognizing timing is difficult to predict. Despite this uncertainty, we continue to have confidence in delivering adjusted OI growth in our target range of 3% to 7% for the years ahead. We will continue to invest in differentiated capabilities to drive performance across our platform with excess capital returned to shareholders through share repurchases. We re...

##### **Chunk 4 - DVA Q3 2024**

This impact is in line with our expectations and consistent with our guidance from the beginning of the year. The second factor contributing to the increase this quarter was the additional debt raised in August. Following our second-quarter earnings call, we successfully completed two debt transactions totaling \$2.1 billion. The proceeds from these deals were used in part to repay our

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#### **Chunk 8 - DVA Q3 2024**

Joel Ackerman: Yes -- and let me just... Pito Chickering: Sorry, go ahead. AD Joel Ackerman: Let me just pop on to the first question was about the NAG in the quarter and let me just give you a little bit on that. Quarterly NAG has some volatility in it. If you're trying to do what I think you're trying to do, which is trying to piece out the volume trends which we're all trying to figure out. I don't think looking at quarter-over-quarter NAG is a great number for that. Within that number is fa...

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#### **Chunk 11 - DVA Q4 2024**

We expect the 2025 OI contribution to be \$0 to \$50 million. For our 2025 guidance, we're back on a more normal adjusted OI growth trajectory. The midpoint of our 2025 guidance for adjusted OI growth is 5.2%, and adjusted EPS growth is 11%, the detailed ranges of which can be found in our press release. This comes on the heels of a strong 2023 and 2024, years in which we exceeded the top end of our original guidance ranges despite weak volume growth by driving strength in other components of our ...

#### **Chunk 12 - DVA Q3 2024**

Historically, it's always been somewhere around 6% on average during the year, although not the same quarter to quarter Q1 and Q4 tend to be elevated and Q2 and Q3 less so. So the 10 bps from the storms was kind of the 10 bps more than what we probably otherwise would have expected. But it's not the total mistreatment rate. And then on mortality, I don't think there's anything new here that negatively impacts our view of 2025. I think the fact that the elevated mortality continues and hasn't gon...

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#### **Chunk 15 - DVA Q3 2024**

In the third quarter, we repurchased 2.7 million shares and we have repurchased approximately 600,000 shares to date in October. Let me close out with some comments on what remains of 2024 and our thoughts as we look towards 2025. As Javier said, we are reaffirming our adjusted OI guidance range of \$1.91 billion to \$2.01 billion. Despite the anticipated hurricane-related OI impact in the fourth quarter, we expect continuing operating momentum to offset the headwind. We are also maintaining our a...

#### **Chunk 16 - DVA Q4 2024**

I will now turn it over to Joel to discuss our financial performance and outlook in more detail. Joel Ackerman -- Chief Financial Officer AD Thank you, Javier. Fourth quarter adjusted operating income was \$491 million, bringing full-year 2024 adjusted OI to \$1.98 billion. Q4 adjusted EPS was \$2.24, taking full-year adjusted EPS to \$9.68. Free cash flow was \$281 million in the fourth quarter and \$1.16 billion for the full year. I'll start today with some detail on the fourth quarter, followed...

#### **Chunk 17 - DVA Q3 2024**

This is now included within our 2024 adjusted operating income guidance range and we expect portion of this quarterly impact will continue into 2025, depending on the duration of the supply challenges. I'll transition now to our expectations for the ESRD final rule from CMS, which we anticipate will be published shortly. While there are many aspects of the rule, we'll be primarily focused on two areas. First, the market basket update, including how CMS handles the new proposed wage index and the...

#### **Chunk 18 - DVA Q4 2024**

DaVita ( DVA +5.44% ) Q4 2024 Earnings Call Feb 13, 2025, 5:00 p.m. ET Contents: Prepared Remarks Questions and Answers Call Participants Prepared Remarks: Operator Good evening. My name is Michelle, and I will be your conference facilitator today. At this time, I would like to welcome everyone to the DaVita fourth quarter 2024 earnings call. All lines have been placed on mute to prevent any background noise. After the speakers' remarks, there will be a question-and-answer period. [Operator ...

#### **Chunk 19 - DVA Q3 2024**

Pito Chickering: Hey, guys. It's a quick follow-up here for 2025. Will depreciation be another tailwind for next year? Joel Ackerman: I'm sorry, I didn't hear that. Pito, can you say that again? Pito Chickering: Yes, you bet. Will depreciation be another tailwind for next year EPS? Joel Ackerman: It'll be flat to down. Well, the answer is yes. Part of it comes from the center closure number coming down, but excluding that, it'll be flat to down.

#### **Chunk 20 - DVA Q3 2024**

Andrew Mok: So Q4 -- so the hurricanes aren't expected to have an impact on Q4 volumes? AD Joel Ackerman: Less -- significantly less than the 10 basis points from what we've seen so far. The quarter is not over, obviously, so there could be additional challenges. But so far, no, it would be less than the 10 basis points. Andrew Mok: Got it. Okay. And then appreciate the early comments on 2025 headwinds and tailwinds. Can you help us understand the order of magnitude of some of those? And hopi...

## **Question 7: How does the company expect to improve Sales and Margins?**

The company expects to improve margins through enhanced collection performance and contracting within U.S. dialysis, which propelled higher revenue per treatment growth despite slower-than-expected volume rebound. However, specific details on sales improvement strategies are not provided in the given transcripts. The financial resilience is observed as they managed to achieve year-over-year adjusted EPS growth of 26% and operating income growth of 21% for full-year 2024, indicating effective margin management amidst challenges like supply chain disruptions and healthcare outages.

**Source Chunks Used (20 retrieved):**

**Chunk 1 - DVA Q3 2024**

AD And finally, we expect that the inclusion of orals in the bundle would be a tailwind if the pharma companies are unable to get legislation passed to delay the inclusion. Lastly, regarding RPT and PCC growth, we expect both to be elevated relative to pre-COVID levels. We will give an update on all these factors along with more quantitative guidance on the Q4 earnings call. That concludes my prepared remarks for today. Operator, please open the call for Q&A. Operator: Thank you, sir. [Operator...

**Chunk 2 - DVA Q3 2024**

Andrew Mok: Got it. So when we think about the referenced target growth, which I think is 3% to 7% pre-COVID, that's inclusive of all those headwinds and tailwinds. That's how we should think about it? Joel Ackerman: I think that's -- yes, I think that's right. Andrew Mok: Great. Thanks for the color. Operator: Thank you. Our next caller is AJ Rice with UBS. You may go ahead.

**Chunk 3 - DVA Q4 2024**

Regarding the financials, while the components of DaVita OI and EPS growth vary from year to year, what remains constant is our commitment to operating excellence and innovation. We will continue to apply that discipline across DaVita's platform, including our core dialysis metrics as revenue, cost structure, and volume while returning excess capital to our shareholders. Thank you all for joining the call and be well.

**Chunk 4 - DVA Q4 2024**

A priority for 2025 will, of course, continue to be an intense focus on volume as we believe in an eventual return to a 2% growth trend, recognizing timing is difficult to predict. Despite this uncertainty, we continue to have confidence in delivering adjusted OI growth in our target range of 3% to 7% for the years ahead. We will continue to invest in differentiated capabilities to drive performance across our platform with excess capital returned to shareholders through share repurchases. We re...

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Joel Ackerman: We do them in the third quarter and the fourth quarter and they're going as planned. AD Pito Chickering: Okay. Okay, fair enough. Okay. And then last question here. Just looking at commercial and MA price increases for '25 or needs tracking in line with historical levels. Thank you so much. Javier Rodriguez: Yes, there's nothing interesting to call out. Going as expected. Pito Chickering: Great, thank you. Javier Rodriguez: Thank you. Operator: Thank you. Our next caller is ...

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**Chunk 7 - DVA Q3 2024**

Joel Ackerman: Yes, starting on the volume, for 2024, we're still thinking 50 bps to 100 bps of growth. So no change there. On the IKC thing, I think we'll have to get back to you on that one. Did I miss a question, Lisa? Lisa Clive: No, no. I was just -- yes, I mean, I think just trying to think through the potential growth of IKC, both on the top line and revenue, just -- it would be helpful at some point to get some indication of how the economics work in there. Thanks. But I'll wait for you...

**Chunk 8 - DVA Q4 2024**

We expect the 2025 OI contribution to be \$0 to \$50 million. For our 2025 guidance, we're back on a more normal adjusted OI growth trajectory. The midpoint of our 2025 guidance for adjusted OI growth is 5.2%, and adjusted EPS growth is 11%, the detailed ranges of which can be found in our press release. This comes on the heels of a strong 2023 and 2024, years in which we exceeded the top end of our original guidance ranges despite weak volume growth by driving strength in other components of our ...

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After challenging years in 2021 and 2022 during the pandemic, we're now on track to deliver our second consecutive year of double-digit adjusted OI growth despite continuing volume and labor pressures. Looking forward, we expect to return to adjusted OI growth more consistent with our historic pre-pandemic multi-year guidance. I will now turn it over to Joel to discuss our financial performance and outlook in more detail.

#### **Chunk 10 - DVA Q4 2024**

This is consistent with our prior expectations, except for the acceleration of \$10 million to \$15 million of value-based care revenue from 2025 to 2024. For international, we expect approximately \$50 million of year-over-year adjusted OI growth. This is the combination of the impact of the Latin America acquisitions we signed in 2024, the reserve against aged accounts receivable in Brazil impacting 2024's results, and continued growth in our existing markets. Shifting to EPS.

#### **Chunk 11 - DVA Q4 2024**

AD So, I was curious how much of improvement you expect there. You also mentioned payer mix. Would be great to know kind of where you ended the year and what you're assuming next year. And while you're talking about payer mix. Can you give us your -- maybe the percentage of treatments coming from the exchanges? Or members with exchange coverage? Thanks. Joel Ackerman -- Chief Financial Officer Sure. So, starting on the collections question. What you're seeing in here, I think, is what we've c...

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I will now turn it over to Joel to discuss our financial performance and outlook in more detail. Joel Ackerman -- Chief Financial Officer AD Thank you, Javier. Fourth quarter adjusted operating income was \$491 million, bringing full-year 2024 adjusted OI to \$1.98 billion. Q4 adjusted EPS was \$2.24, taking full-year adjusted EPS to \$9.68. Free cash flow was \$281 million in the fourth quarter and \$1.16 billion for the full year. I'll start today with some detail on the fourth quarter, followed...

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Management stated that, "our successful emergency response has again underscored the importance of scaled resources and operating discipline," highlighting readiness in the face of supply and weather disruptions. The inclusion of oral-only drugs into the Medicare bundle beginning January remains uncertain in financial impact due to unknown reimbursement rates and product mix dynamics. Repurchases of 2.7 million shares in the quarter and an additional 600,000 shares in October demonstrate ongoing...

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AD As you're modeling EPS, you have to add to that the fact that share buybacks accumulate as the year progresses. And as a result, share count will typically come down. So, you'll see a little bit more growth in EPS over the course of the year. So, Q1 EPS will typically be even lower than that 20% number I talked about for OI. Ryan Langston -- TD Cowen -- Analyst Got it. And just one more thing. Any way you can tell us where you started out or where we're going to start out the year sort of a...

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We're reconfirming our 2024 adjusted operating income guidance of \$1.91 billion to \$2.01 billion. This forecast now includes the impact of Baxter supply shortage. It is a bit early to give specific guidance for 2025, although I know that many of you are already looking ahead to next year. Over the next few months, we'll learn more key factors including open enrollment, oral drugs in the bundle, integrated kidney care, and others. So we will provide formal 2025 guidance on the fourth quarter call...

#### **Chunk 16 - DVA Q3 2024**

Transitioning to our third quarter performance, adjusted operating income was \$535 million and adjusted earnings per share was \$2.59. We view our third quarter results as fairly straightforward, consistent with how we have delivered value throughout

this entire year. Although treatment volume growth remains a challenge, our business continues to demonstrate resilience as we mitigate the volume headwinds with margin expansion, including the momentum of our IKC and International results, all while...

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A reconciliation of these non-GAAP measures to the most comparable GAAP financial measures is included in our earnings press release furnished to the SEC and available on our website. I will now turn the call over to Javier Rodriguez. Javier J. Rodriguez -- Chief Executive Officer and Director AD Thank you, Nic, and thank you for joining the call today. As we embark on 2025, we're celebrating the 25th anniversary of DaVita. During this time, we have focused our efforts on improving clinical o...

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Regarding some of the components of earnings, I would like to call out a few unique potential headwinds and tailwinds outside of our normal dynamics. For the headwinds, first, we expect mortality will remain elevated in 2025. Second, we expect the impact of the Baxter facility closure will continue in 2025. Third, the full-year impact of the expiration of our 2% interest rate caps will negatively impact EPS. For the tailwinds, first is the declining center closure costs in 2025 that we called ou...

## **Question 8: How does the company expect to improve Free Cash Flow and what is Capex expected to be over the next quarter or next 12 months?**

This information is not in the provided transcripts. The documents do mention free cash flow targets for Q4 2024 but do not provide details on expected improvements or Capex plans beyond this quarter.

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#### **Chunk 5 - DVA Q4 2024**

We continue to execute against our long-term plan. And while the full year came in approximately \$15 million ahead of our 2024 expectations, this is largely due to timing of revenue from our value-based care contracts and normal variability. Below the OI line, fourth-quarter debt expense was relatively flat compared to the third quarter. Our leverage ratio at the end of the year was just over three times EBITDA. In the fourth quarter, we repurchased 2.3 million shares, and since the start of 20...

#### **Chunk 6 - DVA Q4 2024**

We expect the 2025 OI contribution to be \$0 to \$50 million. For our 2025 guidance, we're back on a more normal adjusted OI growth trajectory. The midpoint of our 2025 guidance for adjusted OI growth is 5.2%, and adjusted EPS growth is 11%, the detailed ranges of which can be found in our press release. This comes on the heels of a strong 2023 and 2024, years in which we exceeded the top end of our original guidance ranges despite weak volume growth by driving strength in other components of our ...

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#### **Chunk 11 - DVA Q3 2024**

Pito Chickering: Okay, fair enough. Sort of follow-up here on IKC. Usually you true up with your payers during the third quarter. Pairs have had a lot of -- we'll say slightly volatility this quarter. Just curious how that true-up went with the payers for 2023 during the third quarter. Joel Ackerman: Yes. So we are on track for the year. I would say, I would encourage you and everyone as we always have, let's look at IKC on an annual basis rather than a quarterly basis. We're reaffirming our ne...

#### **Chunk 12 - DVA Q4 2024**

Regarding the financials, while the components of DaVita OI and EPS growth vary from year to year, what remains constant is our commitment to operating excellence and innovation. We will continue to apply that discipline across DaVita's platform, including our core dialysis metrics as revenue, cost structure, and volume while returning excess capital to our shareholders. Thank you all for joining the call and be well.

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#### **Chunk 14 - DVA Q3 2024**

In the third quarter, we repurchased 2.7 million shares and we have repurchased approximately 600,000 shares to date in October. Let me close out with some comments on what remains of 2024 and our thoughts as we look towards 2025. As Javier said, we are reaffirming our adjusted OI guidance range of \$1.91 billion to \$2.01 billion. Despite the anticipated hurricane-related OI impact in the fourth quarter, we expect continuing operating momentum to offset the headwind. We are also maintaining our a...

#### **Chunk 15 - DVA Q4 2024**

And that's just about the timing of some equity compensation. Other than that, I think if you're -- we gave the other income, we gave the interest expense, we gave the tax rate. So, I think it will be ultimately the question. And look, that will depend on a bunch of things, how much capital we deploy to buy back shares, obviously, what the share price is. It is impacted by when we buy the shares during the year as well because it's a weight average count over the course of the year. Maybe we'll...

#### **Chunk 16 - DVA Q4 2024**

AD As you're modeling EPS, you have to add to that the fact that share buybacks accumulate as the year progresses. And as a result, share count will typically come down. So, you'll see a little bit more growth in EPS over the course of the year. So, Q1 EPS will typically be even lower than that 20% number I talked about for OI. Ryan Langston -- TD Cowen -- Analyst Got it. And just one more thing. Any way you can tell us where you started out or where we're going to start out the year sort of a...

#### **Chunk 17 - DVA Q3 2024**

Javier Rodriguez: So our mix in PD hasn't changed because it happened by the end of the quarter and that's in the mid 15 is the range. HHD is like a 2% or so mix. And I would take this moment just to thank Baxter and the government. They've been amazing, working literally around the clock to make sure that all of our patients get their supply. And so, as we look at what they've told us, we will obviously see a little deterioration in that through the fourth quarter, but we will normalize by the ...

#### **Chunk 18 - DVA Q3 2024**

Historically, it's always been somewhere around 6% on average during the year, although not the same quarter to quarter Q1 and Q4 tend to be elevated and Q2 and Q3 less so. So the 10 bps from the storms was kind of the 10 bps more than what we probably otherwise would have expected. But it's not the total mistreatment rate. And then on mortality, I don't think there's anything new here that negatively impacts our view of 2025. I think the fact that the elevated mortality continues and hasn't gon...

#### **Chunk 19 - DVA Q4 2024**

Looking at the next chapter, our vision is to continue our unwavering pursuit of a healthier tomorrow. Transitioning to 2024 performance. We finished the year on a strong note, producing full-year adjusted operating income and adjusted EPS in the top half of our guidance range with year-over-year growth of 21% and 26%, respectively. In a year with several unique hurdles, including Change Healthcare outage and hurricane disruption of our supply chain, I am reminded of the resilience of our organi...

#### **Chunk 20 - DVA Q3 2024**

General and Administrative (G&A) Costs -- Rose by \$19 million quarter over quarter, attributed to IT investments, wage growth, and reimbursement operations investment. Depreciation and Amortization -- Increased by \$11 million sequentially, linked to higher center closure costs. Integrated Kidney Care (IKC) Segment -- Adjusted operating results increased by \$32 million sequentially due to lower costs and CKCC timing, but full-year operating loss is expected to be approximately \$50 million. Intern...

## Question 9: What's the company's assessment of the consumer and economy?

This information is not in the provided transcripts. The documents focus on financial performance, operating metrics, supply chain disruptions, and regulatory impacts but do not provide an assessment of consumer behavior or broader economic conditions for DaVita.

Source Chunks Used (20 retrieved):

### Chunk 1 - DVA Q4 2024

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### Chunk 2 - DVA Q4 2024

So, if you're comparing it to what you've seen in prior years, that 3.75% would be the right number. And as we break that down, we typically think of it as labor and everything else, and we see them both moving at about the same pace of growth for next year. Labor continuing to anticipate some higher pressure than we saw pre-COVID and everything else growing at about that same 3.75% range as well. AD A.J. Rice -- UBS -- Analyst OK. Thanks for that. And maybe a follow-up question. On the comme...

### Chunk 3 - DVA Q3 2024

This is now included within our 2024 adjusted operating income guidance range and we expect portion of this quarterly impact will continue into 2025, depending on the duration of the supply challenges. I'll transition now to our expectations for the ESRD final rule from CMS, which we anticipate will be published shortly. While there are many aspects of the rule, we'll be primarily focused on two areas. First, the market basket update, including how CMS handles the new proposed wage index and the...

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### Chunk 5 - DVA Q3 2024

Summary DaVita ( DVA +5.21% ) reported results in line with its expectations, achieving quarter flat treatment volumes amid elevated mortality. The company reaffirmed its full-year adjusted operating income, EPS, and free cash flow guidance, now including anticipated impacts from hurricane-related Baxter supply disruptions. Management noted persistent cost pressures in labor and G&A, elevated mistreatment rates from adverse weather, and higher interest expense following expired rate caps and new...

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Andrew Mok: Got it. So when we think about the referenced target growth, which I think is 3% to 7% pre-COVID, that's inclusive of all those headwinds and tailwinds. That's how we should think about it? Joel Ackerman: I think that's -- yes, I think that's right. Andrew Mok: Great. Thanks for the color. Operator: Thank you. Our next caller is AJ Rice with UBS. You may go ahead.

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#### **Chunk 14 - DVA Q4 2024**

Yeah. Thanks, Andrew. I think the best way to think of G&A is in two parts. One is the -- let's call it the traditional, which is the sort of thinking of it as a cost basis. The second part is now an investment portfolio that we have in there. And so, the examples that come to mind is IT, where we're getting a lot of benefit on another cost line item, or are revenue operations where you're picking up the benefit, obviously, on RPT. And so, the better way to think about that is that about half a...

#### **Chunk 15 - DVA Q3 2024**

Joel Ackerman: Yes -- and let me just... Pito Chickering: Sorry, go ahead. AD Joel Ackerman: Let me just pop on to the first question was about the NAG in the quarter and let me just give you a little bit on that. Quarterly NAG has some volatility in it. If

you're trying to do what I think you're trying to do, which is trying to piece out the volume trends which we're all trying to figure out. I don't think looking at quarter-over-quarter NAG is a great number for that. Within that number is fa...

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#### **Chunk 19 - DVA Q3 2024**

Risks Baxter supply chain disruption is expected to negatively impact operating income by \$10 million-\$20 million in the fourth quarter, with partial effects potentially continuing into 2025. Elevated mortality rates are expected to persist through next year, which may be a continuing headwind for treatment volume growth. Expiration of 2% interest rate caps will contribute to higher interest expense and negatively affect EPS in 2025. Volume growth outlook remains constrained by elevated mistreat...

#### **Chunk 20 - DVA Q3 2024**

Adjusted operating results within Integrated Kidney Care, our value-based care segment increased \$32 million sequentially due to lower costs in our special needs plans and timing of revenue recognition related to CKCC, the government value-based care demonstration program. As always, we recommend evaluating IKC performance on an annual basis given the propensity for quarterly variability. We still believe IKC will have a full-year operating loss of approximately \$50 million. Below the OI line, t...

### **Question 10: Was there mentions around restructuring or distress? -Layoffs, dispositions, refinancing challenges, etc.**

This information is not in the provided transcripts. The documents discuss financial performance, operational challenges like weather disruptions affecting treatment volumes, and future guidance but do not mention any restructuring activities, layoffs, asset dispositions, or refinancing difficulties.

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##### **Chunk 1 - DVA Q4 2024**

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This impact is in line with our expectations and consistent with our guidance from the beginning of the year. The second factor contributing to the increase this quarter was the additional debt raised in August. Following our second-quarter earnings call, we successfully completed two debt transactions totaling \$2.1 billion. The proceeds from these deals were used in part to repay our Term Loan B maturing in 2026, now making our nearest debt maturity 2028. Leverage at the end of Q3 was 3.17 time...

### **Chunk 7 - DVA Q4 2024**

Regarding the financials, while the components of DaVita OI and EPS growth vary from year to year, what remains constant is our commitment to operating excellence and innovation. We will continue to apply that discipline across DaVita's platform, including our core dialysis metrics as revenue, cost structure, and volume while returning excess capital to our shareholders. Thank you all for joining the call and be well.

### **Chunk 8 - DVA Q3 2024**

Risks Baxter supply chain disruption is expected to negatively impact operating income by \$10 million-\$20 million in the fourth quarter, with partial effects potentially continuing into 2025. Elevated mortality rates are expected to persist through next year, which may be a continuing headwind for treatment volume growth. Expiration of 2% interest rate caps will contribute to higher interest expense and negatively affect EPS in 2025. Volume growth outlook remains constrained by elevated mistreat...

### **Chunk 9 - DVA Q3 2024**

Pito Chickering: Hey, guys. It's a quick follow-up here for 2025. Will depreciation be another tailwind for next year? Joel Ackerman: I'm sorry, I didn't hear that. Pito, can you say that again? Pito Chickering: Yes, you bet. Will depreciation be another tailwind for next year EPS? Joel Ackerman: It'll be flat to down. Well, the answer is yes. Part of it comes from the center closure number coming down, but excluding that, it'll be flat to down.

### **Chunk 10 - DVA Q3 2024**

Combined with the dedication of our local care teams, our successful emergency response has again underscored the importance of scaled resources and operating discipline. Although the storms have since passed, our efforts are ongoing to coordinate humanitarian needs, including food, housing and other assistance. We continue to work with the impacted communities to rebuild. Thank you all to the teammates who have gone above and beyond to care for one another and our

patients. Beyond the community...

#### **Chunk 11 - DVA Q3 2024**

Andrew Mok: So Q4 -- so the hurricanes aren't expected to have an impact on Q4 volumes? AD Joel Ackerman: Less -- significantly less than the 10 basis points from what we've seen so far. The quarter is not over, obviously, so there could be additional challenges. But so far, no, it would be less than the 10 basis points. Andrew Mok: Got it. Okay. And then appreciate the early comments on 2025 headwinds and tailwinds. Can you help us understand the order of magnitude of some of those? And hopi...

#### **Chunk 12 - DVA Q3 2024**

In the third quarter, we repurchased 2.7 million shares and we have repurchased approximately 600,000 shares to date in October. Let me close out with some comments on what remains of 2024 and our thoughts as we look towards 2025. As Javier said, we are reaffirming our adjusted OI guidance range of \$1.91 billion to \$2.01 billion. Despite the anticipated hurricane-related OI impact in the fourth quarter, we expect continuing operating momentum to offset the headwind. We are also maintaining our a...

#### **Chunk 13 - DVA Q3 2024**

And as the clinic closures come further into the background, further into our history, then I think we'll see a little bit of tailwind of that. And then we could also potentially have a headwind next year associated with PD and the Baxter issue that we're having and that's pretty simple. There are some patients who might want to start PD now. We don't have the ability to start all of the new PD patients over the quarter, and they might go to another provider. I would call those two things, the c...

#### **Chunk 14 - DVA Q4 2024**

Depreciation and amortization declined by \$14 million compared to the third quarter. The largest driver of the reduction was lower center closure costs. Adjusted international OI declined by \$17 million versus the third quarter. This was driven by a \$19 million reserve recorded against aged accounts receivable in Brazil. AD Underlying operations in our international business remain otherwise in line with expectations. During the quarter, we closed the third of our 2024 Latin American acquisiti...

#### **Chunk 15 - DVA Q4 2024**

And that's just about the timing of some equity compensation. Other than that, I think if you're -- we gave the other income, we gave the interest expense, we gave the tax rate. So, I think it will be ultimately the question. And look, that will depend on a bunch of things, how much capital we deploy to buy back shares, obviously, what the share price is. It is impacted by when we buy the shares during the year as well because it's a weight average count over the course of the year. Maybe we'll...

#### **Chunk 16 - DVA Q4 2024**

As a reminder, last quarter, we highlighted the temporary closure of Baxter's North Cove facility due to Hurricane Helene and the related impact on home dialysis. As a result of these challenges, we incurred approximately \$6 million of operating income impact in the fourth quarter due to higher cost of saline, fewer patient starts due to the availability of PD solution, and lower productivity from our home caregivers. The negative impact was lower than we originally expected due to the extraordi...

#### **Chunk 17 - DVA Q4 2024**

Mortality and mistreatment rates remain elevated in the fourth quarter and new patient starts were negatively impacted by supply constraints of our peritoneal dialysis solutions. On the expense side, we continue our track record of identifying efficiencies and executing on cost-saving initiatives. Beyond the U.S. dialysis, we expanded our international presence and continue to grow IKC. We have now closed on three of the four acquisitions in Latin America announced last year with Brazil expecte...

#### **Chunk 18 - DVA Q4 2024**

AD So, I was curious how much of improvement you expect there. You also mentioned payer mix. Would be great to know kind of where you ended the year and what you're assuming next year. And while you're talking about payer mix. Can you give us your -- maybe the percentage of treatments coming from the exchanges? Or members with exchange coverage? Thanks. Joel Ackerman -- Chief Financial Officer Sure. So, starting on the collections question. What you're seeing in here, I think, is what we've c...

#### **Chunk 19 - DVA Q3 2024**

Summary DaVita ( DVA +5.21% ) reported results in line with its expectations, achieving quarter flat treatment volumes amid elevated mortality. The company reaffirmed its full-year adjusted operating income, EPS, and free cash flow guidance, now including anticipated impacts from hurricane-related Baxter supply disruptions. Management noted persistent cost pressures in labor and G&A, elevated mistreatment rates from adverse weather, and higher interest expense following expired rate caps and new...

#### **Chunk 20 - DVA Q3 2024**

AD So you really have next year, starting with a base of this year 75 basis points, less 25 basis points of day mix. And so you start with a base of 50 basis points. And then getting back to what Javier said, it's up to everyone to figure out what they think will happen to mortality next year versus this year. And then obviously mistreatment rate can also be another source of variability from one year to the next. So that's the framework I would lay out for how to think about it. Joanna Gajuk: ...